ANNUAL OPERATING BUDGET

Upland Technology Campus | New Orleans, LA

Property	Upland Technology Campus
Fiscal Year	2024
Submitted By	Cobblestone Property Co.
Submitted	October 27, 2024

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$2,383,234	$2,521,710	$2,596,475	$213,242	8.9%	$216,372.96
5010 Loss to Lease	$2,298,591	$2,325,117	$2,382,440	$83,849	3.6%	$198,536.66
5020 Vacancy Loss	$2,412,811	$2,283,758	$2,422,923	$10,113	0.4%	$201,910.29
5030 Concessions	$1,600,891	$1,637,847	$1,658,674	$57,783	3.6%	$138,222.85
5040 Bad Debt	$193,871	$207,643	$214,690	$20,819	10.7%	$17,890.82
5050 Late Fees	$991,037	$1,010,171	$1,037,013	$45,976	4.6%	$86,417.78
5060 Utility Reimbursements	$1,090,114	$1,088,041	$1,152,814	$62,700	5.8%	$96,067.81
5070 Parking Income	$796,568	$809,382	$835,144	$38,576	4.8%	$69,595.31
5080 Application Fees	$1,956,544	$2,104,212	$2,159,766	$203,222	10.4%	$179,980.52
5090 Pet Rent	$755,603	$704,129	$749,973	-$5,630	-0.7%	$62,497.77
5100 Laundry Income	$2,136,596	$2,111,038	$2,222,028	$85,432	4.0%	$185,169.01
5110 Cable/Internet Revenue	$555,559	$524,679	$549,889	-$5,670	-1.0%	$45,824.08
5120 CAM Reimbursements	$653,328	$611,192	$627,609	-$25,719	-3.9%	$52,300.72
5130 Tax Reimbursements	$2,147,527	$2,114,826	$2,127,674	-$19,853	-0.9%	$177,306.14
5140 Insurance Reimbursements	$1,439,762	$1,422,565	$1,478,455	$38,693	2.7%	$123,204.59
5150 Percentage Rent	$161,372	$163,322	$171,849	$10,478	6.5%	$14,320.78
5160 Misc. Income	$1,136,582	$1,160,559	$1,203,264	$66,682	5.9%	$100,271.99
5170 Payroll - Management	$1,145,631	$1,125,316	$1,146,888	$1,257	0.1%	$95,574.00
5180 Payroll - Leasing	$2,290,082	$2,307,947	$2,446,571	$156,489	6.8%	$203,880.92
5190 Payroll - Maintenance	$416,574	$431,587	$451,389	$34,815	8.4%	$37,615.76
5200 Payroll Taxes & Benefits	$2,222,838	$2,375,424	$2,424,496	$201,658	9.1%	$202,041.33
5210 Repairs - Plumbing	$1,414,255	$1,332,948	$1,416,565	$2,310	0.2%	$118,047.09

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5400 Advertising	$954,001	$943,728	$1,006,087	$52,086	5.5%	$83,840.58
5410 Resident Events	$230,365	$228,807	$232,268	$1,904	0.8%	$19,355.69
5420 Office Supplies	$604,732	$615,567	$648,355	$43,623	7.2%	$54,029.55
5430 Legal & Professional	$559,434	$539,284	$570,231	$10,797	1.9%	$47,519.24
5440 Accounting & Audit	$1,361,324	$1,369,991	$1,428,344	$67,020	4.9%	$119,028.70
5450 Licenses & Permits	$1,029,529	$986,635	$1,010,111	-$19,418	-1.9%	$84,175.88
5460 Management Fee	$308,265	$303,209	$303,225	-$5,041	-1.6%	$25,268.72
5470 Property Insurance	$641,449	$632,101	$634,322	-$7,127	-1.1%	$52,860.14
5480 Real Estate Taxes	$1,849,913	$1,837,266	$1,845,896	-$4,016	-0.2%	$153,824.69
5490 Asset Management Fee	$2,451,914	$2,270,480	$2,392,331	-$59,584	-2.4%	$199,360.88
5500 Replacement Reserves	$1,822,539	$1,765,168	$1,852,412	$29,873	1.6%	$154,367.68
5510 Roof Repairs	$122,889	$131,694	$138,984	$16,095	13.1%	$11,582.04
5520 Parking Lot Repairs	$1,241,072	$1,297,424	$1,317,184	$76,113	6.1%	$109,765.37
5530 Signage	$1,724,659	$1,716,399	$1,723,483	-$1,176	-0.1%	$143,623.58
5540 Tenant Improvements	$1,864,418	$1,785,107	$1,899,343	$34,925	1.9%	$158,278.61
5550 Leasing Commissions	$1,637,093	$1,685,247	$1,789,114	$152,021	9.3%	$149,092.82
5000 Gross Potential Rent	$129,144	$119,995	$122,929	-$6,215	-4.8%	$10,244.07
5010 Loss to Lease	$1,385,856	$1,466,618	$1,567,978	$182,122	13.1%	$130,664.86
5020 Vacancy Loss	$2,279,232	$2,338,830	$2,376,742	$97,510	4.3%	$198,061.85
5030 Concessions	$199,018	$203,822	$204,805	$5,787	2.9%	$17,067.08
5040 Bad Debt	$2,635,971	$2,786,177	$2,815,150	$179,179	6.8%	$234,595.81
5050 Late Fees	$435,166	$443,576	$471,317	$36,150	8.3%	$39,276.38
5060 Utility Reimbursements	$2,232,830	$2,227,217	$2,368,714	$135,883	6.1%	$197,392.80
5070 Parking Income	$2,614,950	$2,818,968	$2,986,675	$371,725	14.2%	$248,889.59
5080 Application Fees	$1,016,294	$987,873	$1,040,861	$24,567	2.4%	$86,738.42
5090 Pet Rent	$383,484	$413,190	$441,274	$57,790	15.1%	$36,772.82
5100 Laundry Income	$940,009	$911,653	$932,451	-$7,558	-0.8%	$77,704.24
5110 Cable/Internet Revenue	$335,484	$327,531	$348,324	$12,840	3.8%	$29,027.01
5120 CAM Reimbursements	$2,588,149	$2,698,245	$2,718,114	$129,965	5.0%	$226,509.52
5130 Tax Reimbursements	$2,047,402	$2,184,521	$2,242,452	$195,050	9.5%	$186,871.01
5140 Insurance Reimbursements	$857,823	$890,596	$902,068	$44,244	5.2%	$75,172.31
5150 Percentage Rent	$224,907	$230,636	$235,106	$10,199	4.5%	$19,592.20
5160 Misc. Income	$2,191,866	$2,194,527	$2,220,590	$28,725	1.3%	$185,049.19
5170 Payroll - Management	$511,722	$550,254	$563,978	$52,257	10.2%	$46,998.21
5180 Payroll - Leasing	$806,045	$849,747	$860,194	$54,150	6.7%	$71,682.86
5190 Payroll - Maintenance	$2,169,681	$2,328,839	$2,333,429	$163,747	7.5%	$194,452.39
5200 Payroll Taxes & Benefits	$2,082,581	$2,060,578	$2,073,378	-$9,202	-0.4%	$172,781.51
5210 Repairs - Plumbing	$2,373,032	$2,199,443	$2,332,326	-$40,706	-1.7%	$194,360.51
5220 Repairs - HVAC	$1,603,320	$1,530,925	$1,544,077	-$59,243	-3.7%	$128,673.09
5230 Repairs - Electrical	$2,305,063	$2,199,063	$2,222,562	-$82,501	-3.6%	$185,213.50

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Income and Expense Review

Debt service coverage ratio was 8.07x on a trailing basis against a covenant minimum of 1.20x. The facility is a purpose-built data center with 35 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Management fees are calculated at 6.7% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 7.0% over the hold period.

Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Carrier-neutral meet-me room supports multiple fiber providers. Net operating income is projected to grow at a compound annual rate of 6.6% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Leasing and Marketing

Collections for the period were 90.6% of billed charges, with bad debt of 6.4% of gross potential income. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. The facility is a purpose-built data center with 7 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Carrier-neutral meet-me room supports multiple fiber providers. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

Collections for the period were 88.6% of billed charges, with bad debt of 5.7% of gross potential income. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 17 hours. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Carrier-neutral meet-me room supports multiple fiber providers.

Income and Expense Review

On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The facility is a purpose-built data center with 43 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Carrier-neutral meet-me room supports multiple fiber providers.

Carrier-neutral meet-me room supports multiple fiber providers. Net operating income is projected to grow at a compound annual rate of 4.1% over the hold period. Debt service coverage ratio was 6.10x on a trailing basis against a covenant minimum of 1.20x. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management Commentary

The manager completes a monthly walk of the property and submits a variance report to the owner by the 44th business day. Carrier-neutral meet-me room supports multiple fiber providers. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Service requests are tracked through a work-order system with an average completion time of 14 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 36 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Carrier-neutral meet-me room supports multiple fiber providers. The manager completes a monthly walk of the property and submits a variance report to the owner by the 33th business day. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

Income and Expense Review

On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. The going-in capitalization rate of 5.45% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $51,000 or approximately 12.37 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.31x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 7.2% of collected revenue and are included in operating expenses.

Management fees are calculated at 6.1% of collected revenue and are included in operating expenses. Operating expenses totaled $84,000 or approximately 6.49 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter.

Property Operations

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5300 Janitorial	$2,575,013	$2,625,318	$2,720,919	$145,906	5.7%	$226,743.22
5310 Pest Control	$1,178,565	$1,138,160	$1,211,935	$33,370	2.8%	$100,994.57
5320 Trash Removal	$1,751,851	$1,670,489	$1,683,855	-$67,996	-3.9%	$140,321.28
5330 Elevator Contract	$2,283,312	$2,232,774	$2,311,114	$27,802	1.2%	$192,592.82
5340 Fire & Life Safety	$1,191,594	$1,167,051	$1,241,887	$50,293	4.2%	$103,490.61
5350 Security	$134,133	$124,651	$127,727	-$6,406	-4.8%	$10,643.88
5360 Electricity - Common	$1,413,102	$1,322,792	$1,347,062	-$66,040	-4.7%	$112,255.14
5370 Gas - Common	$1,102,571	$1,100,656	$1,163,848	$61,277	5.6%	$96,987.32
5380 Water & Sewer	$1,742,301	$1,779,618	$1,819,683	$77,382	4.4%	$151,640.27
5390 Telephone/Internet	$2,461,853	$2,314,560	$2,407,497	-$54,356	-2.2%	$200,624.78
5400 Advertising	$2,127,570	$2,271,182	$2,425,049	$297,478	14.0%	$202,087.38
5410 Resident Events	$1,763,411	$1,841,873	$1,863,484	$100,072	5.7%	$155,290.30
5420 Office Supplies	$928,615	$984,797	$1,023,482	$94,867	10.2%	$85,290.20
5430 Legal & Professional	$1,400,684	$1,348,333	$1,352,610	-$48,074	-3.4%	$112,717.51
5440 Accounting & Audit	$2,379,389	$2,546,270	$2,671,117	$291,728	12.3%	$222,593.10
5450 Licenses & Permits	$1,051,215	$993,245	$1,038,110	-$13,105	-1.2%	$86,509.18
5460 Management Fee	$702,815	$688,701	$712,056	$9,241	1.3%	$59,338.01
5470 Property Insurance	$1,969,989	$1,875,933	$1,983,245	$13,256	0.7%	$165,270.38
5480 Real Estate Taxes	$638,360	$599,744	$621,541	-$16,819	-2.6%	$51,795.10
5490 Asset Management Fee	$1,584,359	$1,700,365	$1,788,747	$204,388	12.9%	$149,062.25
5500 Replacement Reserves	$2,214,404	$2,108,694	$2,200,801	-$13,603	-0.6%	$183,400.08
5510 Roof Repairs	$1,427,955	$1,376,838	$1,411,493	-$16,462	-1.2%	$117,624.44
5520 Parking Lot Repairs	$319,476	$301,081	$305,452	-$14,024	-4.4%	$25,454.37
5530 Signage	$315,748	$290,547	$302,672	-$13,076	-4.1%	$25,222.69
5540 Tenant Improvements	$919,271	$892,576	$933,095	$13,824	1.5%	$77,757.93
5550 Leasing Commissions	$2,227,532	$2,374,863	$2,496,753	$269,221	12.1%	$208,062.77
5000 Gross Potential Rent	$2,377,898	$2,366,456	$2,444,364	$66,466	2.8%	$203,696.99
5010 Loss to Lease	$1,294,067	$1,357,793	$1,448,612	$154,546	11.9%	$120,717.69
5020 Vacancy Loss	$175,233	$162,713	$169,248	-$5,985	-3.4%	$14,104.03
5030 Concessions	$963,426	$908,347	$937,087	-$26,339	-2.7%	$78,090.61
5040 Bad Debt	$1,881,597	$2,000,834	$2,072,805	$191,208	10.2%	$172,733.73
5050 Late Fees	$2,180,457	$2,165,300	$2,206,967	$26,510	1.2%	$183,913.88
5060 Utility Reimbursements	$992,007	$1,013,581	$1,023,550	$31,543	3.2%	$85,295.84
5070 Parking Income	$617,555	$627,301	$659,450	$41,894	6.8%	$54,954.13
5080 Application Fees	$2,404,174	$2,586,674	$2,710,307	$306,132	12.7%	$225,858.90
5090 Pet Rent	$2,290,647	$2,398,043	$2,501,142	$210,495	9.2%	$208,428.46
5100 Laundry Income	$2,489,795	$2,630,378	$2,791,359	$301,564	12.1%	$232,613.27
5110 Cable/Internet Revenue	$1,707,126	$1,739,347	$1,816,475	$109,349	6.4%	$151,372.94
5120 CAM Reimbursements	$2,292,790	$2,157,272	$2,159,654	-$133,136	-5.8%	$179,971.14
5130 Tax Reimbursements	$583,440	$619,760	$641,437	$57,997	9.9%	$53,453.05
5140 Insurance Reimbursements	$1,500,068	$1,491,615	$1,540,197	$40,129	2.7%	$128,349.77
5150 Percentage Rent	$1,734,149	$1,825,740	$1,905,191	$171,042	9.9%	$158,765.89
5160 Misc. Income	$1,457,324	$1,560,289	$1,639,532	$182,208	12.5%	$136,627.64

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Valuation Discussion

Operating expenses totaled $33,000 or approximately 36.24 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 6.9% over the hold period. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Debt service coverage ratio was 6.87x on a trailing basis against a covenant minimum of 1.20x. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter.

Carrier-neutral meet-me room supports multiple fiber providers. Debt service coverage ratio was 5.93x on a trailing basis against a covenant minimum of 1.20x. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. The going-in capitalization rate of 6.71% reflects the in-place income and the stabilized occupancy assumption. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Net operating income is projected to grow at a compound annual rate of 7.2% over the hold period.

Property Operations

On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Carrier-neutral meet-me room supports multiple fiber providers. Collections for the period were 90.3% of billed charges, with bad debt of 7.0% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 8th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Service requests are tracked through a work-order system with an average completion time of 43 hours. Carrier-neutral meet-me room supports multiple fiber providers. The manager completes a monthly walk of the property and submits a variance report to the owner by the 14th business day. Collections for the period were 89.0% of billed charges, with bad debt of 6.1% of gross potential income.

Financial Analysis

Management fees are calculated at 7.7% of collected revenue and are included in operating expenses. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Carrier-neutral meet-me room supports multiple fiber providers. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

Carrier-neutral meet-me room supports multiple fiber providers. Effective gross income for the trailing period was $197,000, representing a 3.9% increase over the prior year. Operating expenses totaled $317,000 or approximately 12.45 per square foot, with real estate taxes representing the largest line item. The facility is a purpose-built data center with 17 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Management fees are calculated at 5.7% of collected revenue and are included in operating expenses.

Management Commentary

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 39 additional team members. The facility is a purpose-built data center with 42 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Collections for the period were 89.5% of billed charges, with bad debt of 4.9% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 37th business day.

Carrier-neutral meet-me room supports multiple fiber providers. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 15th business day. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

Income and Expense Review

Operating expenses totaled $452,000 or approximately 35.51 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $21,000, representing a 9.4% increase over the prior year. Carrier-neutral meet-me room supports multiple fiber providers. Management fees are calculated at 4.4% of collected revenue and are included in operating expenses. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Net operating income is projected to grow at a compound annual rate of 7.2% over the hold period.

The facility is a purpose-built data center with 8 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Effective gross income for the trailing period was $419,000, representing a 3.3% increase over the prior year. The going-in capitalization rate of 7.39% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 7.36x on a trailing basis against a covenant minimum of 1.20x. Carrier-neutral meet-me room supports multiple fiber providers.

Management Commentary

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5080 Application Fees	$218,583	$210,958	$214,295	-$4,288	-2.0%	$17,857.92
5090 Pet Rent	$2,198,125	$2,151,985	$2,187,994	-$10,131	-0.5%	$182,332.81
5100 Laundry Income	$1,962,660	$2,096,600	$2,217,205	$254,545	13.0%	$184,767.12
5110 Cable/Internet Revenue	$1,400,063	$1,472,070	$1,492,348	$92,285	6.6%	$124,362.32
5120 CAM Reimbursements	$1,914,844	$1,896,379	$1,976,093	$61,250	3.2%	$164,674.45
5130 Tax Reimbursements	$1,504,541	$1,521,481	$1,533,312	$28,771	1.9%	$127,776.01
5140 Insurance Reimbursements	$2,256,657	$2,311,425	$2,420,779	$164,122	7.3%	$201,731.58
5150 Percentage Rent	$1,998,651	$2,149,264	$2,158,469	$159,818	8.0%	$179,872.39
5160 Misc. Income	$1,584,146	$1,572,190	$1,590,824	$6,678	0.4%	$132,568.67
5170 Payroll - Management	$1,019,403	$1,038,814	$1,041,553	$22,150	2.2%	$86,796.06
5180 Payroll - Leasing	$1,730,173	$1,666,634	$1,748,022	$17,848	1.0%	$145,668.47
5190 Payroll - Maintenance	$417,568	$404,728	$431,345	$13,777	3.3%	$35,945.39
5200 Payroll Taxes & Benefits	$2,423,931	$2,505,519	$2,532,107	$108,176	4.5%	$211,008.95
5210 Repairs - Plumbing	$1,495,769	$1,449,126	$1,465,879	-$29,890	-2.0%	$122,156.55
5220 Repairs - HVAC	$1,418,181	$1,337,879	$1,380,958	-$37,223	-2.6%	$115,079.79
5230 Repairs - Electrical	$2,178,289	$2,042,787	$2,075,651	-$102,638	-4.7%	$172,970.93
5240 Repairs - Appliances	$187,601	$189,621	$190,812	$3,211	1.7%	$15,900.98
5250 Painting & Decorating	$2,271,649	$2,254,346	$2,377,267	$105,618	4.6%	$198,105.56
5260 Flooring	$442,791	$409,296	$426,785	-$16,006	-3.6%	$35,565.42
5270 Make-Ready / Turnover	$1,916,729	$1,970,987	$2,001,717	$84,987	4.4%	$166,809.73
5280 Landscaping Contract	$693,976	$654,207	$689,507	-$4,469	-0.6%	$57,458.93
5290 Snow Removal	$1,378,212	$1,320,228	$1,399,653	$21,441	1.6%	$116,637.77
5300 Janitorial	$1,067,909	$1,152,709	$1,155,958	$88,049	8.2%	$96,329.84
5310 Pest Control	$1,640,935	$1,736,810	$1,803,723	$162,788	9.9%	$150,310.25
5320 Trash Removal	$2,137,076	$2,064,923	$2,191,390	$54,314	2.5%	$182,615.81
5330 Elevator Contract	$1,662,241	$1,644,886	$1,724,593	$62,352	3.8%	$143,716.11
5340 Fire & Life Safety	$840,190	$779,754	$819,239	-$20,951	-2.5%	$68,269.95
5350 Security	$2,623,240	$2,803,953	$2,886,706	$263,467	10.0%	$240,558.86
5360 Electricity - Common	$2,546,926	$2,602,142	$2,735,027	$188,101	7.4%	$227,918.91
5370 Gas - Common	$571,755	$565,030	$591,924	$20,169	3.5%	$49,326.99
5380 Water & Sewer	$1,837,519	$1,885,622	$1,903,032	$65,513	3.6%	$158,585.97
5390 Telephone/Internet	$1,964,994	$2,107,562	$2,224,965	$259,971	13.2%	$185,413.72
5400 Advertising	$366,676	$381,157	$400,750	$34,073	9.3%	$33,395.81
5410 Resident Events	$2,529,081	$2,546,532	$2,604,217	$75,136	3.0%	$217,018.09
5420 Office Supplies	$876,380	$864,052	$906,358	$29,978	3.4%	$75,529.84
5430 Legal & Professional	$1,102,930	$1,148,347	$1,172,481	$69,551	6.3%	$97,706.75
5440 Accounting & Audit	$2,193,253	$2,136,024	$2,158,527	-$34,726	-1.6%	$179,877.26
5450 Licenses & Permits	$1,810,178	$1,933,487	$2,050,765	$240,587	13.3%	$170,897.12
5460 Management Fee	$2,635,703	$2,620,016	$2,737,727	$102,023	3.9%	$228,143.89
5470 Property Insurance	$1,315,124	$1,401,821	$1,412,990	$97,866	7.4%	$117,749.18

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Operating Performance

Effective gross income for the trailing period was $231,000, representing a 12.9% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 6.7% of collected revenue and are included in operating expenses. Debt service coverage ratio was 6.92x on a trailing basis against a covenant minimum of 1.20x.

Operating expenses totaled $89,000 or approximately 14.17 per square foot, with real estate taxes representing the largest line item. Carrier-neutral meet-me room supports multiple fiber providers. Effective gross income for the trailing period was $249,000, representing a 8.9% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 6.66x on a trailing basis against a covenant minimum of 1.20x. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter.

Leasing and Marketing

The manager completes a monthly walk of the property and submits a variance report to the owner by the 34th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 7 additional team members. Service requests are tracked through a work-order system with an average completion time of 13 hours. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 2th business day. Carrier-neutral meet-me room supports multiple fiber providers. Collections for the period were 94.6% of billed charges, with bad debt of 6.7% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The facility is a purpose-built data center with 19 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Valuation Discussion

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Effective gross income for the trailing period was $404,000, representing a 10.7% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 7.6% over the hold period. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. The facility is a purpose-built data center with 8 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

Carrier-neutral meet-me room supports multiple fiber providers. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. The facility is a purpose-built data center with 12 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Effective gross income for the trailing period was $16,000, representing a 4.7% increase over the prior year. Debt service coverage ratio was 6.91x on a trailing basis against a covenant minimum of 1.20x.

Leasing and Marketing

Collections for the period were 94.1% of billed charges, with bad debt of 5.5% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 42th business day. The facility is a purpose-built data center with 7 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Service requests are tracked through a work-order system with an average completion time of 30 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 3th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 16 additional team members. Carrier-neutral meet-me room supports multiple fiber providers. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Financial Analysis

Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Carrier-neutral meet-me room supports multiple fiber providers. Operating expenses totaled $343,000 or approximately 21.20 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 8.02x on a trailing basis against a covenant minimum of 1.20x.

Net operating income is projected to grow at a compound annual rate of 7.3% over the hold period. The going-in capitalization rate of 5.98% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The facility is a purpose-built data center with 33 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Debt service coverage ratio was 6.94x on a trailing basis against a covenant minimum of 1.20x.

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$1,926,963	$1,950,955	$1,981,401	$54,438	2.8%	$165,116.73
5010 Loss to Lease	$884,472	$861,234	$882,463	-$2,008	-0.2%	$73,538.61
5020 Vacancy Loss	$2,047,304	$1,916,089	$1,934,187	-$113,117	-5.5%	$161,182.27
5030 Concessions	$152,894	$153,802	$162,488	$9,595	6.3%	$13,540.69
5040 Bad Debt	$1,907,440	$1,870,025	$1,971,456	$64,017	3.4%	$164,288.04
5050 Late Fees	$1,445,965	$1,531,232	$1,612,919	$166,954	11.5%	$134,409.93
5060 Utility Reimbursements	$2,313,460	$2,313,950	$2,385,230	$71,770	3.1%	$198,769.20
5070 Parking Income	$2,497,871	$2,411,338	$2,440,220	-$57,651	-2.3%	$203,351.71
5080 Application Fees	$1,394,827	$1,452,929	$1,510,417	$115,591	8.3%	$125,868.12
5090 Pet Rent	$338,834	$365,247	$388,850	$50,016	14.8%	$32,404.15
5100 Laundry Income	$1,400,437	$1,369,871	$1,432,573	$32,136	2.3%	$119,381.10
5110 Cable/Internet Revenue	$1,650,515	$1,554,901	$1,600,518	-$49,997	-3.0%	$133,376.52
5120 CAM Reimbursements	$1,366,471	$1,429,207	$1,430,304	$63,834	4.7%	$119,192.01
5130 Tax Reimbursements	$1,561,088	$1,620,377	$1,698,875	$137,787	8.8%	$141,572.93
5140 Insurance Reimbursements	$1,828,914	$1,711,103	$1,733,379	-$95,535	-5.2%	$144,448.29
5150 Percentage Rent	$2,264,697	$2,206,532	$2,229,380	-$35,317	-1.6%	$185,781.64
5160 Misc. Income	$1,696,890	$1,762,784	$1,802,506	$105,616	6.2%	$150,208.86
5170 Payroll - Management	$2,060,167	$2,075,908	$2,171,118	$110,951	5.4%	$180,926.51
5180 Payroll - Leasing	$354,132	$325,976	$344,175	-$9,956	-2.8%	$28,681.28
5190 Payroll - Maintenance	$855,965	$869,836	$870,198	$14,232	1.7%	$72,516.47
5200 Payroll Taxes & Benefits	$649,593	$659,860	$667,417	$17,824	2.7%	$55,618.12
5210 Repairs - Plumbing	$2,011,889	$2,002,745	$2,134,152	$122,263	6.1%	$177,845.99
5220 Repairs - HVAC	$1,286,334	$1,239,657	$1,294,904	$8,570	0.7%	$107,908.65
5230 Repairs - Electrical	$452,353	$486,527	$488,929	$36,577	8.1%	$40,744.10
5240 Repairs - Appliances	$1,201,423	$1,169,522	$1,194,064	-$7,358	-0.6%	$99,505.36
5250 Painting & Decorating	$2,403,082	$2,248,786	$2,358,721	-$44,361	-1.8%	$196,560.05
5260 Flooring	$311,398	$312,249	$328,891	$17,493	5.6%	$27,407.61
5270 Make-Ready / Turnover	$2,580,786	$2,689,351	$2,739,960	$159,174	6.2%	$228,330.02
5280 Landscaping Contract	$833,719	$840,854	$856,173	$22,454	2.7%	$71,347.75
5290 Snow Removal	$2,309,322	$2,311,335	$2,403,276	$93,954	4.1%	$200,272.99
5300 Janitorial	$825,306	$787,020	$824,361	-$945	-0.1%	$68,696.77
5310 Pest Control	$511,477	$503,591	$504,340	-$7,137	-1.4%	$42,028.33
5320 Trash Removal	$1,118,117	$1,070,148	$1,126,226	$8,109	0.7%	$93,852.20
5330 Elevator Contract	$1,997,440	$1,881,049	$2,007,151	$9,711	0.5%	$167,262.62
5340 Fire & Life Safety	$1,724,181	$1,766,176	$1,805,792	$81,611	4.7%	$150,482.64
5350 Security	$2,620,294	$2,702,876	$2,823,511	$203,217	7.8%	$235,292.59
5360 Electricity - Common	$869,907	$821,828	$851,112	-$18,794	-2.2%	$70,926.04
5370 Gas - Common	$815,151	$779,376	$811,599	-$3,553	-0.4%	$67,633.24
5380 Water & Sewer	$817,519	$846,458	$867,137	$49,617	6.1%	$72,261.40
5390 Telephone/Internet	$236,718	$218,133	$218,793	-$17,925	-7.6%	$18,232.76
5400 Advertising	$1,878,329	$1,824,358	$1,885,115	$6,785	0.4%	$157,092.90
5410 Resident Events	$2,553,949	$2,386,578	$2,494,775	-$59,174	-2.3%	$207,897.89

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Valuation Discussion

The facility is a purpose-built data center with 41 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Management fees are calculated at 3.2% of collected revenue and are included in operating expenses. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 6.3% over the hold period. The going-in capitalization rate of 7.11% reflects the in-place income and the stabilized occupancy assumption.

Operating expenses totaled $328,000 or approximately 26.61 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.57x on a trailing basis against a covenant minimum of 1.20x. The facility is a purpose-built data center with 31 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Management fees are calculated at 8.0% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $280,000, representing a 5.2% increase over the prior year.

Leasing and Marketing

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 7 hours. Collections for the period were 93.5% of billed charges, with bad debt of 6.1% of gross potential income. The facility is a purpose-built data center with 4 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Carrier-neutral meet-me room supports multiple fiber providers.

Collections for the period were 92.5% of billed charges, with bad debt of 3.4% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 40 additional team members. Service requests are tracked through a work-order system with an average completion time of 13 hours. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

Income and Expense Review

Debt service coverage ratio was 6.82x on a trailing basis against a covenant minimum of 1.20x. Carrier-neutral meet-me room supports multiple fiber providers. Effective gross income for the trailing period was $108,000, representing a 7.9% increase over the prior year. The facility is a purpose-built data center with 41 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. The going-in capitalization rate of 5.18% reflects the in-place income and the stabilized occupancy assumption.

Debt service coverage ratio was 5.24x on a trailing basis against a covenant minimum of 1.20x. Carrier-neutral meet-me room supports multiple fiber providers. The facility is a purpose-built data center with 41 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Effective gross income for the trailing period was $444,000, representing a 5.4% increase over the prior year.

Property Operations

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. The manager completes a monthly walk of the property and submits a variance report to the owner by the 9th business day. Collections for the period were 91.9% of billed charges, with bad debt of 6.1% of gross potential income.

Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Collections for the period were 89.8% of billed charges, with bad debt of 3.1% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 34 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The facility is a purpose-built data center with 32 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

Financial Analysis

Effective gross income for the trailing period was $305,000, representing a 6.0% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Carrier-neutral meet-me room supports multiple fiber providers. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. The going-in capitalization rate of 7.23% reflects the in-place income and the stabilized occupancy assumption. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter.

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5370 Gas - Common	$1,765,674	$1,898,888	$1,999,772	$234,098	13.3%	$166,647.66
5380 Water & Sewer	$459,708	$487,026	$511,162	$51,454	11.2%	$42,596.85
5390 Telephone/Internet	$736,297	$715,476	$735,614	-$684	-0.1%	$61,301.14
5400 Advertising	$1,230,872	$1,166,341	$1,194,435	-$36,437	-3.0%	$99,536.29
5410 Resident Events	$979,945	$1,018,368	$1,077,475	$97,530	10.0%	$89,789.60
5420 Office Supplies	$1,661,649	$1,594,378	$1,649,851	-$11,798	-0.7%	$137,487.56
5430 Legal & Professional	$1,874,867	$1,870,073	$1,972,219	$97,352	5.2%	$164,351.58
5440 Accounting & Audit	$500,460	$515,896	$516,919	$16,459	3.3%	$43,076.59
5450 Licenses & Permits	$1,944,216	$1,805,156	$1,816,429	-$127,786	-6.6%	$151,369.11
5460 Management Fee	$1,397,790	$1,497,049	$1,536,663	$138,873	9.9%	$128,055.28
5470 Property Insurance	$399,941	$407,525	$426,666	$26,725	6.7%	$35,555.53
5480 Real Estate Taxes	$305,318	$320,291	$323,202	$17,884	5.9%	$26,933.47
5490 Asset Management Fee	$2,232,439	$2,068,917	$2,145,415	-$87,024	-3.9%	$178,784.59
5500 Replacement Reserves	$1,265,483	$1,257,877	$1,281,249	$15,765	1.2%	$106,770.73
5510 Roof Repairs	$2,130,783	$2,222,966	$2,318,183	$187,400	8.8%	$193,181.91
5520 Parking Lot Repairs	$227,362	$232,988	$242,151	$14,789	6.5%	$20,179.25
5530 Signage	$617,491	$659,354	$683,162	$65,670	10.6%	$56,930.16
5540 Tenant Improvements	$2,128,713	$2,046,378	$2,091,552	-$37,160	-1.7%	$174,296.01
5550 Leasing Commissions	$2,319,719	$2,240,797	$2,367,425	$47,706	2.1%	$197,285.41
5000 Gross Potential Rent	$1,740,760	$1,639,881	$1,707,794	-$32,966	-1.9%	$142,316.20
5010 Loss to Lease	$2,537,914	$2,340,437	$2,385,043	-$152,871	-6.0%	$198,753.61
5020 Vacancy Loss	$1,034,022	$1,029,512	$1,031,657	-$2,366	-0.2%	$85,971.38
5030 Concessions	$2,238,324	$2,252,853	$2,322,163	$83,839	3.7%	$193,513.57
5040 Bad Debt	$1,647,854	$1,651,525	$1,764,741	$116,887	7.1%	$147,061.79
5050 Late Fees	$931,823	$966,231	$1,009,680	$77,858	8.4%	$84,140.04
5060 Utility Reimbursements	$352,283	$363,431	$384,918	$32,635	9.3%	$32,076.50
5070 Parking Income	$1,615,019	$1,543,406	$1,625,083	$10,064	0.6%	$135,423.60
5080 Application Fees	$1,514,460	$1,586,562	$1,678,677	$164,217	10.8%	$139,889.77
5090 Pet Rent	$445,541	$464,516	$474,846	$29,305	6.6%	$39,570.48
5100 Laundry Income	$653,836	$653,857	$676,209	$22,374	3.4%	$56,350.78
5110 Cable/Internet Revenue	$248,907	$249,936	$252,778	$3,871	1.6%	$21,064.83
5120 CAM Reimbursements	$2,153,127	$2,136,852	$2,246,726	$93,599	4.3%	$187,227.17
5130 Tax Reimbursements	$984,483	$1,049,062	$1,109,006	$124,523	12.6%	$92,417.21
5140 Insurance Reimbursements	$1,229,591	$1,196,197	$1,215,242	-$14,349	-1.2%	$101,270.16
5150 Percentage Rent	$2,542,955	$2,722,039	$2,902,486	$359,531	14.1%	$241,873.82
5160 Misc. Income	$1,537,553	$1,525,657	$1,558,316	$20,763	1.4%	$129,859.70
5170 Payroll - Management	$1,217,096	$1,206,941	$1,269,052	$51,957	4.3%	$105,754.34
5180 Payroll - Leasing	$2,473,999	$2,286,043	$2,321,349	-$152,650	-6.2%	$193,445.76
5190 Payroll - Maintenance	$1,520,709	$1,557,485	$1,579,855	$59,145	3.9%	$131,654.55
5200 Payroll Taxes & Benefits	$2,238,372	$2,106,441	$2,135,001	-$103,371	-4.6%	$177,916.78
5210 Repairs - Plumbing	$1,679,350	$1,737,659	$1,822,065	$142,715	8.5%	$151,838.72

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Financial Analysis

Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 5.85x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.86% reflects the in-place income and the stabilized occupancy assumption. Carrier-neutral meet-me room supports multiple fiber providers. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter.

On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Carrier-neutral meet-me room supports multiple fiber providers. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. The going-in capitalization rate of 6.92% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 4.4% of collected revenue and are included in operating expenses.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 24 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 47 hours.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 32 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 27 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 20th business day. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter.

Financial Analysis

Debt service coverage ratio was 5.83x on a trailing basis against a covenant minimum of 1.20x. The facility is a purpose-built data center with 40 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $202,000 or approximately 30.28 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 4.0% of collected revenue and are included in operating expenses. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

The going-in capitalization rate of 7.41% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 4.2% over the hold period. Debt service coverage ratio was 7.48x on a trailing basis against a covenant minimum of 1.20x. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

Property Operations

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Carrier-neutral meet-me room supports multiple fiber providers.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 3th business day. Collections for the period were 96.1% of billed charges, with bad debt of 5.2% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 41 hours.

Income and Expense Review

Carrier-neutral meet-me room supports multiple fiber providers. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Debt service coverage ratio was 7.53x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 7.37% reflects the in-place income and the stabilized occupancy assumption.

The going-in capitalization rate of 7.07% reflects the in-place income and the stabilized occupancy assumption. The facility is a purpose-built data center with 11 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Net operating income is projected to grow at a compound annual rate of 6.8% over the hold period. Effective gross income for the trailing period was $63,000, representing a 7.6% increase over the prior year.

Leasing and Marketing

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5280 Landscaping Contract	$1,890,251	$1,997,550	$2,123,976	$233,725	12.4%	$176,998.01
5290 Snow Removal	$1,548,333	$1,655,489	$1,741,735	$193,402	12.5%	$145,144.57
5300 Janitorial	$239,916	$243,218	$245,797	$5,881	2.5%	$20,483.07
5310 Pest Control	$142,648	$148,909	$157,566	$14,918	10.5%	$13,130.53
5320 Trash Removal	$1,990,349	$2,112,960	$2,258,100	$267,751	13.5%	$188,175.02
5330 Elevator Contract	$1,493,669	$1,506,855	$1,566,555	$72,886	4.9%	$130,546.29
5340 Fire & Life Safety	$172,903	$173,815	$179,952	$7,050	4.1%	$14,996.03
5350 Security	$2,349,483	$2,347,206	$2,435,344	$85,862	3.7%	$202,945.34
5360 Electricity - Common	$261,457	$275,670	$286,152	$24,695	9.4%	$23,845.96
5370 Gas - Common	$192,312	$195,388	$198,723	$6,411	3.3%	$16,560.22
5380 Water & Sewer	$1,432,580	$1,515,821	$1,522,641	$90,061	6.3%	$126,886.75
5390 Telephone/Internet	$1,525,298	$1,592,238	$1,683,380	$158,082	10.4%	$140,281.63
5400 Advertising	$1,926,583	$1,916,604	$1,977,438	$50,855	2.6%	$164,786.51
5410 Resident Events	$1,478,716	$1,476,031	$1,484,932	$6,217	0.4%	$123,744.35
5420 Office Supplies	$2,348,089	$2,257,811	$2,262,966	-$85,123	-3.6%	$188,580.50
5430 Legal & Professional	$1,753,402	$1,735,948	$1,811,293	$57,891	3.3%	$150,941.08
5440 Accounting & Audit	$1,284,309	$1,209,814	$1,287,779	$3,470	0.3%	$107,314.92
5450 Licenses & Permits	$1,956,560	$1,900,606	$1,965,180	$8,619	0.4%	$163,764.99
5460 Management Fee	$1,746,878	$1,766,677	$1,839,448	$92,570	5.3%	$153,287.35
5470 Property Insurance	$2,361,403	$2,301,076	$2,338,166	-$23,237	-1.0%	$194,847.18
5480 Real Estate Taxes	$1,460,993	$1,386,628	$1,433,800	-$27,193	-1.9%	$119,483.31
5490 Asset Management Fee	$1,955,492	$2,093,262	$2,171,096	$215,604	11.0%	$180,924.65
5500 Replacement Reserves	$975,776	$1,034,382	$1,040,809	$65,033	6.7%	$86,734.11
5510 Roof Repairs	$2,275,861	$2,285,720	$2,403,593	$127,732	5.6%	$200,299.45
5520 Parking Lot Repairs	$1,251,221	$1,257,854	$1,306,500	$55,280	4.4%	$108,875.04
5530 Signage	$2,523,690	$2,334,602	$2,410,328	-$113,361	-4.5%	$200,860.70
5540 Tenant Improvements	$2,622,851	$2,797,327	$2,970,356	$347,506	13.2%	$247,529.70
5550 Leasing Commissions	$2,627,812	$2,453,116	$2,558,018	-$69,795	-2.7%	$213,168.16
5000 Gross Potential Rent	$1,513,393	$1,458,408	$1,493,060	-$20,333	-1.3%	$124,421.68
5010 Loss to Lease	$2,377,181	$2,327,468	$2,477,920	$100,739	4.2%	$206,493.34
5020 Vacancy Loss	$900,823	$854,146	$909,566	$8,743	1.0%	$75,797.19
5030 Concessions	$1,890,042	$1,995,668	$2,134,555	$244,513	12.9%	$177,879.62
5040 Bad Debt	$2,519,456	$2,340,948	$2,439,255	-$80,201	-3.2%	$203,271.23
5050 Late Fees	$819,625	$871,342	$932,164	$112,539	13.7%	$77,680.35
5060 Utility Reimbursements	$871,543	$939,253	$994,194	$122,652	14.1%	$82,849.54
5070 Parking Income	$1,197,762	$1,180,041	$1,230,180	$32,418	2.7%	$102,515.00
5080 Application Fees	$938,814	$908,946	$925,301	-$13,513	-1.4%	$77,108.39
5090 Pet Rent	$1,271,179	$1,175,127	$1,186,086	-$85,093	-6.7%	$98,840.48
5100 Laundry Income	$509,679	$543,526	$563,631	$53,952	10.6%	$46,969.27
5110 Cable/Internet Revenue	$592,092	$588,106	$605,223	$13,130	2.2%	$50,435.24
5120 CAM Reimbursements	$2,259,025	$2,421,030	$2,469,649	$210,625	9.3%	$205,804.11
5130 Tax Reimbursements	$2,494,131	$2,648,014	$2,667,266	$173,135	6.9%	$222,272.18

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Operating Performance

The going-in capitalization rate of 5.30% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $339,000, representing a 7.9% increase over the prior year. Management fees are calculated at 3.8% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 3.2% over the hold period. Debt service coverage ratio was 6.58x on a trailing basis against a covenant minimum of 1.20x. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter.

Effective gross income for the trailing period was $427,000, representing a 3.0% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $440,000 or approximately 30.77 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 7.83% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 5.1% over the hold period. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter.

Property Operations

Carrier-neutral meet-me room supports multiple fiber providers. The manager completes a monthly walk of the property and submits a variance report to the owner by the 29th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The facility is a purpose-built data center with 44 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

The facility is a purpose-built data center with 9 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. The manager completes a monthly walk of the property and submits a variance report to the owner by the 38th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 15 additional team members. Service requests are tracked through a work-order system with an average completion time of 3 hours.

Income and Expense Review

Debt service coverage ratio was 5.20x on a trailing basis against a covenant minimum of 1.20x. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Operating expenses totaled $286,000 or approximately 37.62 per square foot, with real estate taxes representing the largest line item. The facility is a purpose-built data center with 21 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. The facility is a purpose-built data center with 35 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Carrier-neutral meet-me room supports multiple fiber providers. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Leasing and Marketing

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 89.2% of billed charges, with bad debt of 4.8% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 18 additional team members. The facility is a purpose-built data center with 35 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. The manager completes a monthly walk of the property and submits a variance report to the owner by the 12th business day.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 28th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 10 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 9 additional team members. The facility is a purpose-built data center with 20 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Valuation Discussion

On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Effective gross income for the trailing period was $45,000, representing a 8.1% increase over the prior year. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Operating expenses totaled $270,000 or approximately 8.32 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 6.6% of collected revenue and are included in operating expenses.

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5210 Repairs - Plumbing	$649,236	$698,791	$704,441	$55,205	8.5%	$58,703.44
5220 Repairs - HVAC	$501,941	$481,874	$511,677	$9,736	1.9%	$42,639.75
5230 Repairs - Electrical	$776,294	$780,881	$809,559	$33,265	4.3%	$67,463.25
5240 Repairs - Appliances	$1,572,618	$1,504,240	$1,516,791	-$55,827	-3.5%	$126,399.22
5250 Painting & Decorating	$121,234	$116,128	$117,865	-$3,368	-2.8%	$9,822.12
5260 Flooring	$2,162,708	$2,220,982	$2,303,485	$140,777	6.5%	$191,957.11
5270 Make-Ready / Turnover	$2,554,432	$2,513,005	$2,553,720	-$712	-0.0%	$212,810.03
5280 Landscaping Contract	$1,223,901	$1,282,387	$1,337,785	$113,885	9.3%	$111,482.12
5290 Snow Removal	$563,937	$577,676	$613,074	$49,137	8.7%	$51,089.50
5300 Janitorial	$1,998,025	$1,890,793	$1,933,682	-$64,343	-3.2%	$161,140.15
5310 Pest Control	$2,160,617	$2,108,048	$2,197,691	$37,074	1.7%	$183,140.90
5320 Trash Removal	$1,876,456	$1,930,933	$1,990,854	$114,398	6.1%	$165,904.50
5330 Elevator Contract	$1,389,413	$1,479,930	$1,566,463	$177,050	12.7%	$130,538.59
5340 Fire & Life Safety	$126,670	$126,918	$131,284	$4,615	3.6%	$10,940.37
5350 Security	$1,059,364	$1,019,998	$1,086,212	$26,849	2.5%	$90,517.70
5360 Electricity - Common	$2,449,957	$2,305,100	$2,361,420	-$88,537	-3.6%	$196,785.01
5370 Gas - Common	$1,951,072	$1,929,316	$2,022,966	$71,894	3.7%	$168,580.52
5380 Water & Sewer	$2,162,885	$1,993,963	$2,031,325	-$131,560	-6.1%	$169,277.04
5390 Telephone/Internet	$144,959	$136,093	$144,778	-$181	-0.1%	$12,064.81
5400 Advertising	$1,261,401	$1,330,399	$1,397,202	$135,801	10.8%	$116,433.51
5410 Resident Events	$1,769,614	$1,848,129	$1,850,573	$80,960	4.6%	$154,214.45
5420 Office Supplies	$1,607,967	$1,569,987	$1,639,870	$31,903	2.0%	$136,655.84
5430 Legal & Professional	$651,196	$608,208	$648,282	-$2,914	-0.4%	$54,023.47
5440 Accounting & Audit	$2,614,098	$2,623,871	$2,768,215	$154,117	5.9%	$230,684.59
5450 Licenses & Permits	$2,492,884	$2,355,957	$2,508,043	$15,160	0.6%	$209,003.61
5460 Management Fee	$1,611,340	$1,625,120	$1,655,446	$44,106	2.7%	$137,953.81
5470 Property Insurance	$891,876	$915,444	$956,820	$64,944	7.3%	$79,735.01
5480 Real Estate Taxes	$621,464	$655,217	$687,005	$65,540	10.5%	$57,250.39
5490 Asset Management Fee	$2,036,902	$2,171,667	$2,309,790	$272,889	13.4%	$192,482.54
5500 Replacement Reserves	$1,785,435	$1,745,421	$1,848,368	$62,933	3.5%	$154,030.70
5510 Roof Repairs	$2,105,678	$2,237,209	$2,329,450	$223,772	10.6%	$194,120.84
5520 Parking Lot Repairs	$1,957,957	$2,095,139	$2,212,190	$254,233	13.0%	$184,349.16
5530 Signage	$2,376,324	$2,310,090	$2,383,217	$6,893	0.3%	$198,601.39
5540 Tenant Improvements	$748,952	$728,164	$778,705	$29,753	4.0%	$64,892.08
5550 Leasing Commissions	$1,603,585	$1,520,511	$1,530,338	-$73,247	-4.6%	$127,528.18
5000 Gross Potential Rent	$664,781	$618,452	$661,736	-$3,045	-0.5%	$55,144.67
5010 Loss to Lease	$2,058,485	$2,197,838	$2,321,132	$262,647	12.8%	$193,427.69
5020 Vacancy Loss	$2,610,135	$2,552,740	$2,601,885	-$8,250	-0.3%	$216,823.78
5030 Concessions	$427,844	$444,990	$468,271	$40,427	9.4%	$39,022.56
5040 Bad Debt	$2,169,759	$2,108,114	$2,213,319	$43,560	2.0%	$184,443.29
5050 Late Fees	$2,490,723	$2,625,535	$2,767,709	$276,986	11.1%	$230,642.46
5060 Utility Reimbursements	$973,071	$936,989	$956,354	-$16,718	-1.7%	$79,696.14
5070 Parking Income	$2,628,853	$2,683,561	$2,688,840	$59,988	2.3%	$224,070.03

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Summary and Notes

Financial Analysis

Effective gross income for the trailing period was $376,000, representing a 11.4% increase over the prior year. The going-in capitalization rate of 5.55% reflects the in-place income and the stabilized occupancy assumption. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Operating expenses totaled $27,000 or approximately 43.02 per square foot, with real estate taxes representing the largest line item.

Management fees are calculated at 4.1% of collected revenue and are included in operating expenses. The going-in capitalization rate of 7.16% reflects the in-place income and the stabilized occupancy assumption. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Carrier-neutral meet-me room supports multiple fiber providers. Debt service coverage ratio was 7.84x on a trailing basis against a covenant minimum of 1.20x. The facility is a purpose-built data center with 31 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

Leasing and Marketing

Carrier-neutral meet-me room supports multiple fiber providers. The facility is a purpose-built data center with 14 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. The manager completes a monthly walk of the property and submits a variance report to the owner by the 17th business day. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Collections for the period were 96.9% of billed charges, with bad debt of 6.1% of gross potential income.

Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 41 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter.

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